

**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.	)	
	)	
<i>Complainant,</i>	)	
	)	DOCKET NO. 22-20
v.	)	
	)	
HMM Company Limited,	)	
	)	
<i>Respondent,</i>	)	

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S
MOTION TO STRIKE PORTIONS OF MSRF’S REPLY BRIEF**

Complainant MSRF Inc. (“MSRF”), by and through its attorneys, and for its Response in Opposition to Respondent HMM Company Limited (“HMM”) Motion to Strike Portions of MSRF’s Reply Brief (the “Motion”) states as follows:

I. INTRODUCTION

On June 3, 2023, HMM filed the Motion requesting that the Commission strike parts of MSRF’s Reply Brief filed on May 24, 2023. In the interests of judicial economy and to avoid delay and for the reasons stated below, the Court should deny the Motion to Strike.

HMM's Motion is yet another attempt by HMM to convince the Commission to exalt form over substance as part of their effort to preclude the Commission from considering the merits of MSRF’s Reply Brief in Support of its Motion for Summary Decision (“Reply Brief”). Contrary to HMM's arguments, MSRF has provided the Commission with a precise and succinct Reply Brief further explaining and clarifying the arguments made in MSRF’s Motion for Summary Decision (the “Opening Brief”). MSRF has been forthcoming with the Commission regarding the contents and length of its filings. HMM's Motion to Strike disregards the Commission’s interest in administrative efficiency and instead seeks to prioritize form over substance. Accordingly, HMM's

Motion to Strike should fail because MSRF's Reply Brief does not add new claims and arguments—instead, it seeks to explain and clarify the legal and factual arguments already included in the Opening Brief.

II. ARGUMENT

1. MSRF's Reply Brief Does Not Add New Arguments and Facts Not Previously Raised in MSRF's Opening Brief.

MSRF's Reply Brief does not raise new arguments. The Reply Brief simply explains, clarifies and responds to the arguments and claims already made in MSRF's Opening Brief and HMM's Response to the Opening Brief.

While a reply brief is not the proper place to raise new arguments, *see United States v. Brennan*, 994 F.2d 918, 922 n. 7 (1st Cir.1993) (noting the “well-settled” rule that arguments raised for the first time in a reply brief are waived), it is proper for a court to look there for clarification, *see United States v. Bradstreet*, 207 F.3d 76, 80 (1st Cir. 2000); *Lomotey v. Connecticut-Dep't of Transp.*, 355 F. App'x 478, 481 (2d Cir. 2009) (finding that the defendant's reply brief offered further explanation and clarification in support of its position and did not offer new arguments); *Hill v. England*, No. CVF05869RECTAG, 2005 WL 3031136, at *1 (E.D. Cal. Nov. 8, 2005) (finding that a reply brief did not raise new arguments when it “merely reiterate[d] the grounds for dismissal asserted in [the] opening brief”); *Great Am. Ins. Co. v. Berl*, No. CV 17-03767 SJO, 2017 WL 8180627, at *2 (C.D. Cal. Oct. 23, 2017) (finding that although the defendants' motion may not have articulated the arguments in the exact same way as in the reply, the underlying legal and factual arguments were the same).

Contrary to HMM's position, section II and III of MSRF's Reply Brief do not raise new factual and legal arguments or claims not previously raised in MSRF's Opening Brief. Rather, MSRF's Reply Brief offers further explanation and clarification as to the arguments it made in its

Opening Brief—that HMM violated sections 41102(c), 41104(a)(2), and 41102(a)(10) of the Shipping Act through their breach of the Parties’ Service Contract Agreement. 46 U.S.C. §§ 41102(c), 41104(a)(2), and 41104(a)(10); MSRF Opening Brief pp. 2-4. There are no new legal issues raised by MSRF in the Reply Brief. The Reply Brief plainly restates the sections of the Shipping Act that HMM violated as previously discussed in the Opening Brief. MSRF Opening Brief pp. 2-4; MSRF Reply Brief pp. 3-10. In addition, the facts and evidence included in the Reply Brief were merely used to support MSRF’s existing claims. All evidence used in the Reply Brief has previously been shared with all Parties through the discovery process.

As a result, the Reply Brief served as further clarification of the legal arguments and claims that MSRF brought to the Commission’s attention in its Opening Brief—HMM’s violations of sections 41102(c), 41104(a), and 41104(a)(1) of the Shipping Act—and does not raise new legal or factual issues not previously discussed.

Additionally, arguments and evidence presented in reply are not “new” if they are in direct response to arguments and proof adduced in opposition to a motion. *Blake, D.C., et. al v. NCMIC Ins. Co.*, No. 3:17-CV-00193-JMK, 2023 WL 3689543, at *6 (D. Alaska May 26, 2023) (holding that the plaintiff’s brief did not raise new arguments, it merely “reiterated and elaborated” on the arguments in its opening brief and responded to the factual and legal arguments raised in opposition); see *Baloch v. Norton*, 517 F. Supp. 2d 345 (D.D.C. 2007).

Here, MSRF’s Reply Brief also directly responds to HMM’s arguments made in their Opposition to MSRF’s Motion for Summary Decision (the “Opposition Brief”), that they did not violate Section 41102(c), 41104(a)(2) and 41104(a)(10) of the Shipping Act. In its Reply Brief, MSRF responded to HMM’s arguments by explaining and clarifying that HMM violated the Shipping Act through the breach of the terms of the Service Contract Agreement between the

Parties and by enforcing unjust and unreasonable regulations and practices relating to receiving, handling, storing or delivering property. In their Opposition Brief, HMM also claimed that there was no evidence that proved HMM violated Section 41102(c) 41104(a)(2) and 41104(a)(10) of the Shipping Act. The Reply Brief used the evidence already shared with all Parties in discovery to explain HMM's violations of the Shipping Act.

Therefore, the Reply Brief did not add new factual or legal claims, but it covered all of the claims and facts already previously discussed in MSRF's Opening Brief.

2. MSRF Has No Issue With HMM Supplementing the Record With a Reply.

Although MSRF strongly believes that its Reply Brief did not add new arguments or facts not previously mentioned in its Opening Brief, MSRF does not oppose HMM's request to supplement the record with a reply. As such, if the Commission allows HMM to supplement the record with a reply, MSRF will not oppose such findings from the Commission.

III. CONCLUSION

For the foregoing reasons, MSRF respectfully requests that the Commission deny HMM's Motion to Strike Portions of MSRF's Reply Brief because the Reply Brief does not include new arguments and facts not previously raised in MSRF's Opening Brief. Instead, the Reply Brief simply clarifies and explains the legal claims MSRF's had already included in its Opening Brief.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on June 9, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of August 22, 2022.

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